Apple Inc. — Form 10-K (FY2025) — Sample Excerpt

Condensed sample excerpt for RAG demo — headline figures are from the cited SEC filing; narrative is abbreviated/paraphrased.

Item 1. Business

Apple Inc. designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company's products include iPhone, Mac, iPad, and Wearables, Home and Accessories. The Services segment includes advertising, AppleCare, cloud services, digital content and payment services.

For fiscal year 2025 (ended September 27, 2025), total net sales were $416.2 billion and net income was $112.0 billion. iPhone remained the Company's largest product category, while the Services business continued to grow and reached a new all-time revenue high.

Item 1A. Risk Factors

The Company's business is subject to a variety of risks. A substantial portion of the Company's manufacturing is performed by outsourcing partners located primarily in Asia, including China, India and Vietnam, and a disruption to these operations or to the supply of key components could materially harm results. The Company depends heavily on the iPhone, and a decline in iPhone demand could disproportionately affect revenue.

The markets for the Company's products and services are highly competitive and characterized by rapid technological change. The Company is exposed to foreign-exchange risk because a majority of net sales occur outside the United States, and a strengthening U.S. dollar can reduce reported revenue. Legal and regulatory developments concerning the App Store and digital-market regulation could require changes to business practices.

Item 7. Management's Discussion and Analysis

Total net sales increased year over year, driven by growth in Services and higher iPhone revenue. Products gross margin benefited from a favorable mix and cost efficiencies, while Services gross margin remained substantially higher than Products gross margin. The Company returned capital to shareholders through dividends and share repurchases and continued to invest in research and development, including silicon and artificial-intelligence capabilities.